

Behavioral Investor Type Diagnostic Process

An individual's self-concept is the core of his personality. It affects every aspect of human behavior: the ability to learn, the capacity to grow and change. A strong, positive self-image is the best possible preparation for success in life.

—Dr. Joyce Brothers, American Psychologist,
Columnist and Author

Since the popping of both the technology stock bubble in March of 2000 and subsequent popping of the credit bubble in 2008, behavioral finance has taken center stage with the financial advisory world. But for many financial advisors and individual investors—from now on I will call them, collectively, Financial Market Participants or FMPs—behavioral finance is still an unfamiliar and unused subject. There are many FMPs, however, who have taken the time to read and learn about behavioral finance and use it in practice with good results. Why have they done so? These FMPs realize that being successful is just as much about understanding behavior as it is about understanding financial analysis. And they have observed that behavioral finance can provide tools that can help them “get inside” the head of themselves and their clients. In this chapter, we will be exploring a way to easily apply behavioral finance in practice by segmenting investors by their behavioral traits. By doing so, we can learn how best to help FMPs reach their financial goals. Before we get into the details of how to classify clients into “Behavioral Investor Types” or BITs using a process I call “Behavioral Alpha,” let’s examine the background of how BITs were developed.